

Mercedes Maybach S Class

# THE LUXE FACTOR



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***IN THE LAST COUPLE OF YEARS, THE ULTRA-LUXURY CAR MARKET IN INDIA HAS SEEN RAPID GROWTH***

The Indian passenger car market continues to show strong growth and, despite the blip caused by Covid-19, disruptions in the global supply chains and the semiconductor shortages, is back on a steady growth curve. The surge may not be as strong as the previous couple of years which saw the market scrambling to keep up with pent-up demand but it has been consistent. This is despite the added costs from emission norms and safety requirements. At over eight per cent growth in 2023, auto sector growth was among the highest in what is now the third biggest market in the world.

Perhaps this was only to be expected as car penetration in our country is amongst the lowest in the world (India is ranked closer to 200th than to 100th in the world on this metric). Which, in effect, means that in close to 200 countries, more people per thousand own cars. The low car penetration as well as fast growth in road development means the potential for rapid growth exists. What has been surprising is that over the last couple of years, the ultra-luxury car market has seen rapid growth. And here we are talking about vehicles with price tags of over Rs 2 crore and averaging out at about Rs 4 crore. This is also the segment where vehicle prices usually more than doubles between the time it leaves the factory and hits the road in India, primarily because of heavy taxation.

Mercedes-Benz keeps reiterating that its TEV (top-end) segment is driving growth. The numbers may not be very high but the revenues definitely are.



Bentley Mulliner Opulence Edition



Lamborghini Urus

Porsche, though not as big a player, sold close to 1,000 cars in India and Lamborghini, with an average sale price closer to Rs 5 crore, sold over a hundred cars.

This, of course means, renewed focus on the segment by the leading players. Lamborghini has been busy doing a series of events in the country, including off-road track experiences, anniversary celebrations and owner meets which have been setting records in terms of attendance. Bentley Motors launched an Opulence Limited Edition range specially crafted for India with colours taken from the Indian flag and mountain ranges as motifs in the interiors, paying homage to the Himalayas. In fact, when the last four cars with the W12 engine in the Bentley range (one each of the Flying Spur, Bentayga, Continental GT and GTC) went under the hammer, Indian bidders were front-runners for three of the four cars. Two of them finally found homes here.

These trends in the luxury car market echo those in other industries, and with loosened purse strings and an economy growing at a fast pace, it is only a matter of time before India realises its potential as one of the world's biggest markets for luxury cars—as it was back in the pre-Independence era.

In the coming days, we will we see an increased focus on the Indian car market by the auto majors. We can also expect attention from a number of fresh players, especially the new-age companies that had not paid much heed to the India market so far. With the $500 million scheme to attract the likes of Tesla now in play, we may even see a number of companies like Rivian, Lucid, Genesis, Fisker and Polestar make their way to Indian shores. Exciting times ahead for sure! ■